



**PIVOTBOSS
MASTERS**

CORE PRINCIPLES

AUCTION MARKET THEORY

AUCTION MARKET THEORY



Auction Market Theory is used to study how market participants act in an auction, including studying market efficiency, inefficiency, and optimal bidding strategies.



AUCTION MARKET THEORY



A professional trader must have deft knowledge of Auction Market Theory (AMT), as it provides a pathway to knowing how to trade any market and any market condition.



AUCTION MARKET THEORY



Understanding Auction Market Theory, and understanding your role in the auction helps you identify how to bid with the bidders, and offer with the offerers.



AUCTION MARKET THEORY



There are many components to an auction, and having a keen understanding of each component allows you to trade the auction from a highly informed point of view. Skilled professional traders use Auction Market Theory as the blueprint for trading all auctions.



AUCTION MARKET THEORY



"The precepts of Auction Market Theory provide ways to read and understand the market and so the intelligent speculator is armed in the way that any other professional is armed by knowledge of his/her field."

— Donald L. Jones, "Auction Market Theory", 2009*



Homework
Reading



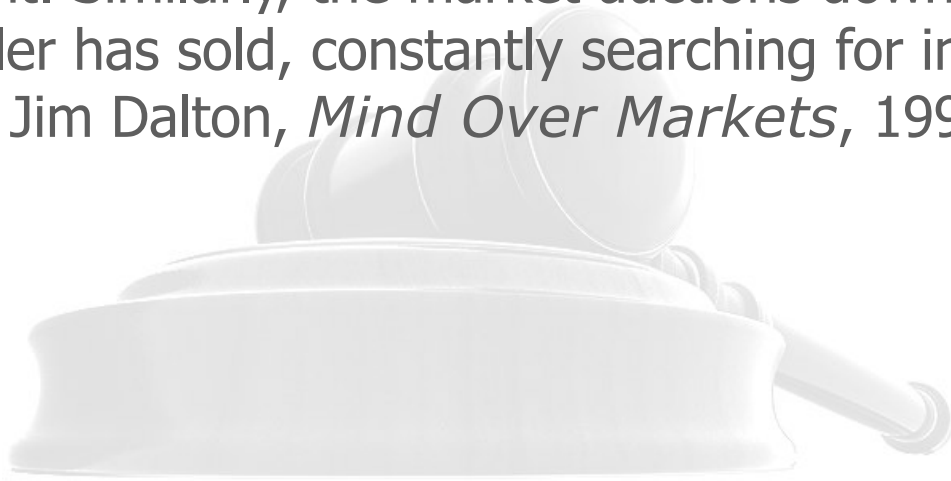
*http://www.cisco-futures.com/Auction_Market_Theory.html

AUCTION MARKET THEORY



On futures market auctions: "If the open is considered below value, price auctions higher in search of sellers. If the open is considered too high by the market's participants, price auctions lower, searching for buyers. Once a buyer enters the market, price begins to auction upward until the last buyer has bought. Similarly, the market auctions downward until the last seller has sold, constantly searching for information."

— Jim Dalton, *Mind Over Markets*, 1999*



Weekend
Reading



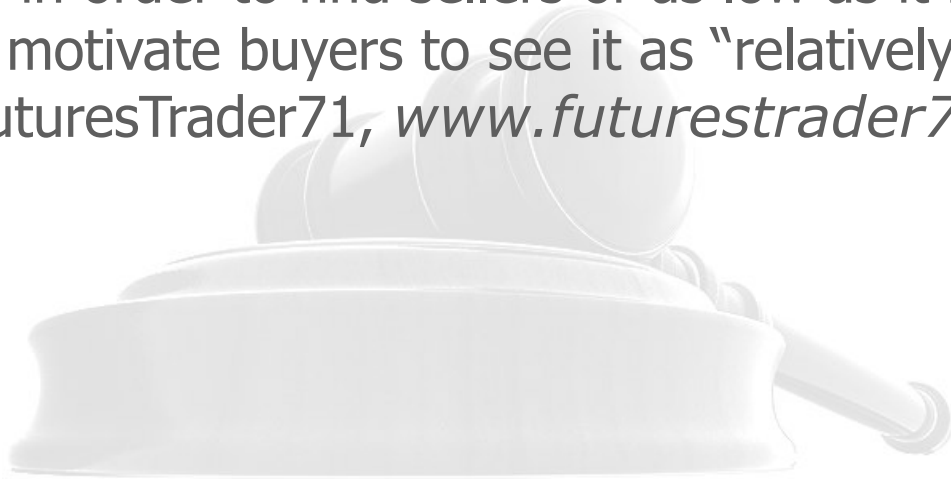
*My Favorite Book

AUCTION MARKET THEORY



"Put simply, the market is an auction. Price is set through a process called "price discovery". This is where the buyers and sellers will continue to move the market in one direction or another until the opposite force is motivated enough to step in and stop the advance. The market will auction as high as it needs to in order to find sellers or as low as it needs to in order to motivate buyers to see it as "relatively cheap"."

— @FuturesTrader71, www.futurestrader71.com



Twitter
Reading



*<http://twitter.com/futurestrader71>

AUCTION MARKET THEORY



5 Key Tenets of the Auction Process

1. The market is an auction, and operates solely to facilitate trade between buyers and sellers
2. Price is used as a tool to advertise value; value is the dominant variable in the markets — changes constantly
3. Price auctions higher to motivate sellers (supply), and lower to motivate buyers (demand)
4. Price auctions higher until the last buyer has bought, and auctions lower until the last seller has sold
5. When buyers and sellers find an agreeable price, they trade in large volume, thereby establishing “value”

AUCTION MARKET THEORY



"The purpose of the futures market is similar to any other market. It exists solely to facilitate trade, and it does so by auctioning from high to low and low to high, in order to find an area where trade can best be facilitated."

— Jim Dalton, *Mind Over Markets*, 1999



AUCTION MARKET THEORY



AUCTION MARKET THEORY



The Auction Process: Participants

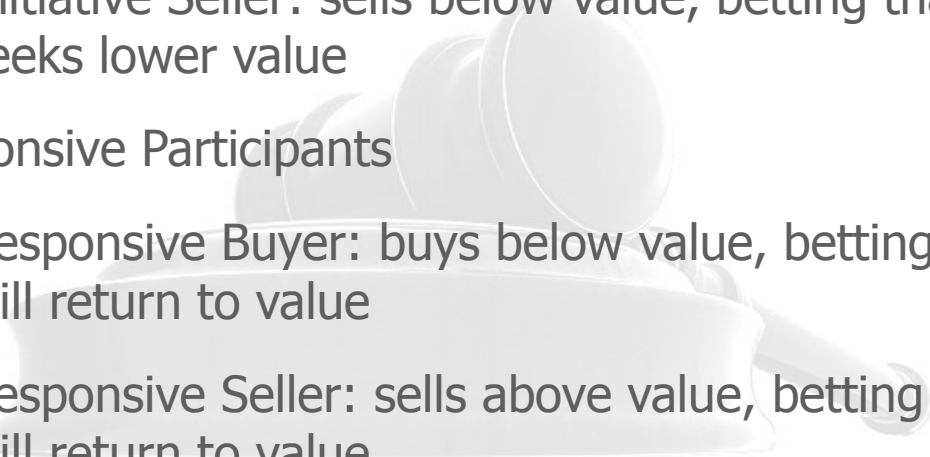
Auctions have four types of participants in two distinct categories:

A. Initiative Participants

1. Initiative Buyer: buys above value, betting that price seeks higher value
2. Initiative Seller: sells below value, betting that price seeks lower value

B. Responsive Participants

3. Responsive Buyer: buys below value, betting that price will return to value
4. Responsive Seller: sells above value, betting that price will return to value



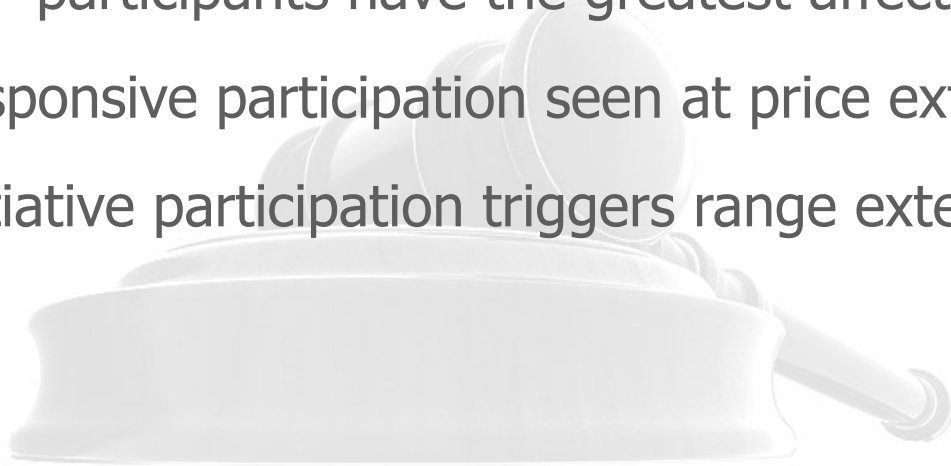
AUCTION MARKET THEORY



The Auction Process: OTF Participants

Other Time Frame (OTF) describes all participants using a timeframe that is greater than yours.

- A. OTF participants have the greatest affect on price
- B. Responsive participation seen at price extremes
- C. Initiative participation triggers range extension



AUCTION MARKET THEORY



The Auction Process: Value

Participants identify value to discern when prices are undervalued (Discount) or undervalued (Premium), and will trade from either a responsive or initiative standpoint depending on their opinion of value.

- A. Price is used as a tool to advertise value
- B. Value is the dominant variable in the markets — changes constantly
- C. Price is valued differently in each timeframe
- D. Historical value maintains significance in the future
- E. Demand drives value; change in value reveals demand
- F. The market moves from rejection (unfair pricing) into acceptance (fair pricing), then back to rejection

AUCTION MARKET THEORY



- Auction Market Theory provides the pathway for trading any auction
- Price auctions higher and lower in search of value for facilitation of trade between buyers and sellers
- When buyers and sellers establish value, price trades within balance
- Imbalance occurs when excess supply or demand enters the market
- After an imbalance phase, price then reestablishes value and creates balance
- Knowing the cycles of the auction process and its participants gives you the knowledge required to have longevity as a professional trader